"Bad Things" To Happen As US Dollar Strengthens | Brent Johnson

Podcast: Thoughtful Money

AI Executive Summary

Thank you for sharing this detailed and insightful discussion. Here are some key takeaways and recommendations based on the conversation:

1. **Market Valuation and Risk**: The market is currently overvalued, with the S&P 500 at about three times its long-term average. This high valuation increases the risk of a significant market correction.

2. **Risk Management**: The team at New Harbor is managing risk by keeping equity exposure at around 37.5% and using hedges like gold and silver. They recommend that investors consider reducing their equity exposure and maintaining some cash or defensive assets.

3. **Technical Analysis**: The charts showed that the market is vulnerable to a significant correction, with support levels around 7200 for the S&P and 23,824,000 for the NASDAQ. The 200-day moving average on the S&P is a key level to watch.

4. **Sector Performance**: The tech sector, particularly AI stocks, has been under pressure, while healthcare and software have shown some resilience. Energy services are also being sold to reduce risk.

5. **Gold and Precious Metals**: Despite the recent sell-off, the team remains optimistic about precious metals, seeing potential for a bottom in the near term. GLD and GDX charts suggest a possible reversal, with key support levels around 4,400 for GLD and 76 for GDX.

6. **Emotional Management**: It's crucial to manage emotions during market downturns. The team recommends maintaining a plan, reducing risk, and not getting emotionally driven to make hasty decisions.

7. **Portfolio Reassessment**: Given the potential for a market correction, investors should reassess their portfolios and consider consulting with a financial advisor to ensure they are adequately prepared.

8. **Liquidity**: Maintain liquidity to avoid being forced to sell at distressed prices during a market downturn.

9. **Central Bank Response**: While the market could experience a significant correction, the response from central banks might mitigate some of the negative effects.

10. **Long-Term Outlook**: Despite the potential for a correction, the long-term outlook for the market remains positive, with the possibility of a strong rebound.

For investors, the key takeaway is to remain disciplined, maintain a diversified portfolio, and be prepared for potential market volatility. Regular portfolio reviews and seeking professional advice can help navigate these challenging times.

Full Transcript

If the dollar stays between approximately 90 and 105 or 85 and 105 on a relative basis, the whole system can kind of work and the world can live with both dual carry trades that they have to deal with. But if the dollar breaks out to the upside of that band, that's when bad things start to happen and we're getting relatively close to where that is now. Welcome to Thoughtful Money. I'm Thoughtful Money founder and your host Adam Taggart. Welcome you here for a very special guest on a very special day. We're going to talk about debt, gold, the elections, maybe even the tech wreck that's happening in real time as we're recording this with the dollar milkshake man himself, Brent Johnson. Brent, how are you doing? I'm good, thanks. It was good to see you last week. It was good to see you last week, Brent. It's always fun to spend time with you in person. I was going to talk about this later, but I'll mention it right now.

So we were hanging out in the green room and you were sitting next to Peter Schiff and I got in between the two of you, snapped a photo, posted it on X and then within like two minutes, somebody posted this, it turned it into an AI sketch and it was right around Halloween. So it was a little AI sketch. I'll play it right now for folks so they can see what I'm talking about. All right guys, Halloween time. Let's do this. Yeah, let's get these costumes on. I'm going for the gold. Let's go. Time to shake things up. Feel the burn. I'm worth my weight and fun. Best Halloween ever. It's pretty amazing. It is pretty amazing what AI can do. I won't do it today, but I've been talking recently on this channel about how I've fallen deeply down the agentic AI hole, and I'm having it just do more and more parts of my business and parts of my life, and it's amazing. But it is crazy how kind of good the AI stuff is getting. And look, that AI stuff isn't perfect. But again, like I said, it was done in like two minutes. And I sent it to my wife, and she was like, wait, wait, tell me this is AI, because it looks real. And I was like, yeah, thankfully. But my favorite part about that clip, Brent, is of the three of us in the clip, you're the shortest on the AI. It just shows you not everything. It doesn't get everything 100% correct.

Yeah, and folks in real life, Brent Towers over me and Peter Schiff. I did, though. It made you the most enthusiastic one of the three of us in the video. So I thought that was really fun. It was. You've got to have fun with stuff like that. You can't take yourself too seriously. Very true. Although there is some serious stuff going on right now with tech. And if there's time... we'll get to it in this discussion. But the day we're recording this, Thursday, November 5th, the NASDAQ's down about 5% right now as we're talking. And of course, this has been after some weakness in the space. So I think some very legitimate questions are getting raised about like, wow, is this maybe the breaking of the confidence in the AI bubble or is this just a needed pressure relief and then it will start running higher from here? If you've got strong opinions on that, we'll get to it. But I want to start with two things that you've been talking about, and you can tell me which one you want to tackle first. One, obviously, is we just had the midterm elections. It was a pretty extreme result, meaning it was a very strong blue wave. There's a lot of ink being spilled right now about the significance of that, and you have been posting saying, hey, it's not that it's not significant, but this is This is sort of a movie we've seen many, many times in history, and this is just sort of the way the pendulum swings. We can talk about that first, or we can talk about a recent piece you put out called Slow Shave, which is really talking about the growing demand for capital, which basically just mean that there's leftover once we pay the things we have to pay to do the things we want to do. So which one of those two do you want to tackle first?

I'm happy to do any of them. Maybe we focus on the slow shave just to start. Okay, let's do that. So I'll let you... Well, why don't you describe it and then I've got some big questions, but I'll let you set the stage. So there's two points I want to make about it. Essentially what it... is it's a paper covering sovereign debt, but in this case Europe, because what we've seen in the last month���and this has kind of died down a little bit���what we've seen in the last month is European sovereign yields have started to spike, specifically in France. And the reason we think it's important is because, first of all, we've said for a long time that we thought that Europe was in trouble for many reasons.

But we titled it Slow Shave because we don't think it's helpful to just kind of come out and make these grandiose predictions all the time about collapse or a crisis or a Great Depression. But the point we've made for a long time is that part of the reason our thesis, the whole dollar milkshake theory, and we think that the US is kind of the cleanest dirty shirt, is not because the US is clean, but just because there's these big, big problems elsewhere. And we put out a couple of reports a year ago talking about how rising yields in the United States are a problem, but higher yields in the U.S. end up causing problems overseas.

And we believe the U.S. is better equipped with the problems than those overseas are able to equip with them. And I think that's what we're seeing in France now. And so that was the reason for putting out the paper now. All right. Can I just mention two things about that? One is... in many ways because these countries just aren't as economically resilient and robust as the U.S. So higher rates hurts them more. But also because of the euro dollar market, a lot of these countries and their participants hold loans in dollars. So as dollars become more expensive, on a relative basis, it's more expensive for those foreigners holding dollars because here in the U.S., the U.S. can print dollars to service its debt.

where you can't print dollars if you're in another country. Not only that. I mean, you're absolutely right. And that's a point that we made in a previous report called The Band, where we talk about countries around the world have to deal with two carry trades. They have to deal with the carry trade in US dollar terms, because that's what they use on the global stage. And then they have to use their local currency terms, the carry trade associated with that, because all money, no matter where you're at in the world, has been loaned into existence. Now, what makes it even worse for France is they can't even print the local currency because they're part of the EU. So even in their local terms, they have a carry trade in a currency that they do not have sovereign control over. Now, they can influence it, they can beg, they can plead, but they can't make the EU or the ECB do something specifically for them.

And that is one of the reasons we have made this argument, that rising yields are a problem for everybody, but that it will manifest in crisis

overseas before it manifests in crisis here in the United States. And that's part of the reason why the dollar, back in July, everybody thought Warsh was going to come in and start cutting rates like crazy, and the dollar had sold off, and now it was going to fall precipitously because these rate cuts were imminent. and then of course the dollar does a 180 and it goes from like I don't know 97 or 98 to 101 or 102 in the space of two or three months. That is also at the same time that the euro started to fall because the European growth is just not there. Sovereign issues are starting to be an issue and they've got a war right on their border and they're going to have to spend more on national defense than they typically or traditionally have. So all of these things end up manifesting overseas earlier than they do in the US. And the reason I should make this point, the reason we call it slow shave rather than collapse is because again, I don't think it's helpful to plan for a collapse. I think you have to be aware of why that could happen. But country's abilities to kick the can down the road is better than most people think it is. All you got to do is go back 12 years, 14 years when Mario Draghi said, believe me, you know, we'll do whatever it takes and believe me, it will be enough.

I remember when he said that thinking, yeah, you got one or two years. Well, here we are, you know, 13 years later, and it's still still going on. So the predictions of imminent collapse, I don't think are helpful. But we call it a slow shave, because what they're going to have to try to do is what everybody has been talking about for years now, which is financial repression. They're going to have to cap yields at some point, and they're going to have to continue to spend from a fiscal perspective. which is going to have the added effect of removing purchasing power from the euro, right? Now, I think everybody is very familiar with this whole debasement trade as it relates to the dollar because everybody focuses on the dollar. But those same dynamics exist in every other currency in the world. And generally to a greater extent. Yeah, but just to a greater extent. So it doesn't mean that The dollar rising on a relative level is is a guarantee of the dollar's purchasing power That doesn't have to be the case But the point is is that Europe and not just France but France specifically but not just France Europe has a problem With rising yields and they are probably going to have to cap them in some form or another Which would lead to you know debasement of the euro, you know leaving the dollar out of it for now One

thing that you've said many, many times, and we'll talk about it again today, is that everybody knows you as the developer of the dollar milkshake theory, so everybody instantly thinks Brent thinks the dollar is awesome, and you don't. You think it's a dirty shirt. You just think the rest of the shirt and the hampers are even dirtier, right? But you've done, I think, a hero's work of warning people, yeah, the dollar may eventually fail at some point, but it's probably going to take a long time, maybe even longer than our lifetimes. And two, it's highly likely to be the last fiat currency to fail for all the reasons that you talk about. But one of the things you tell people a lot is, given the dynamics that you just mentioned, the dollar can go up relative to foreign currencies, but gold can go up relative to the dollar.

The dollar doesn't reign supreme over every asset class. It can do well on a relative basis to its peers, but it can get left behind by other assets that will perform better than it in terms of retaining purchasing power or increasing purchasing power. You're nodding as I'm saying this, but I'm capturing this. Yeah. That's always been my opinion. It's important to understand I think when people hear me talk about the dollar because so many people have been when they initially bought gold, they were told to buy gold because the dollar is dying. That is a central position for the gold world. You got to buy gold because the dollar is dying. whether through purchasing power, or the bricks are going to start another parallel currency system, or the United States just can't pay its bills, whatever the reason. The dollar failing is kind of a central cornerstone argument for why you own gold to begin with. And I think that has a small bit of truth to it, but by doing that, I think it glosses over the strength of the dollar on a relative basis.

and the strength of the dollar on a relative basis is probably the single most important variable in all of global finance because it affects literally everything. So if the only thing an investor has to worry about is purchasing power, and they don't care about corporate profits, they don't care about geopolitics, if they don't care about inflation, if they don't care about anything other than purchasing power, then they can just go buy gold, go sit on a mountaintop somewhere, and just wait, because that's all you have to worry about. But if you run a business, if you operate on the global stage, if you do take an interest in capital markets, if you do have an interest in geopolitics, the dollar is one of the most important variables in all of those.

And the dollar ends up impacting all of those other markets, even if it's losing purchasing power.

And so that's the point that I've tried to educate people on, is that even if the dollar dies last, that is an extremely important concept to understand how impactful it dying last is to everything else. Okay. Well, I'll let you continue to expand on that as relevant to the discussion as we go forward from here. Real quick, just because we're now fully looking at the dollar. default outlook for the dollar for next year? My default outlook is I try not to make too many predictions. When I first started talking about the dollar, I made a very specific prediction because I felt we had a very specific set of circumstances that I thought raised the high possibility that we would have a currency crisis or a sovereign debt crisis. And in that event, I thought the dollar had the potential to go up significantly.

Now, that currency crisis and that sovereign debt crisis came close, but it never actually happened. They were able to kick the can down the road. And as a result, that prediction of the currency crisis and the dollar returning to its all-time high did not play out. And so from that perspective, I got it wrong. But directionally, everything that we said would lead what happened as a lead up to that crisis, all the different asset classes moved in the direction that we thought. So I don't think it's helpful again for me to come out here and say I predict the dollar is going to go through this super spike but what I would say is we have all of the the variables or all the you know scenarios are on the table right now that could lead to the dollar breaking out from its band and you know again I referenced the band earlier if the dollar stays between approximately 90 and 105 or 85 and 105 on a relative basis the whole system can kind of work and The world can live with both dual carry trades that they have to deal with But if the dollar breaks out to the upside of that band That's when bad things start to happen and we're getting relatively close to where that is now I think the dollar is like a 102 or something. So it's not there yet, but it's getting kind of close And with all of the scenarios that we have on the table, I think the likelihood that it breaks out to the upside is higher than the likelihood that it breaks to the downside. Now, here's the thing. If I'm wrong and it breaks to the downside, that should be helpful to the world. And I don't have to worry

about that as much because that means the system is functioning as it was designed to do.

Asset classes are probably doing okay. And the assets that we own are probably going to hold up. But if the dollar breaks out to the upside, that's what we need to be prepared for. And that's what we need to hedge against. So we always have some hedges in place. We always have some short term cash on the sidelines. We always have some downside protection in case that does break out to the top. Now, going back to the specific question, my guess is that the dollar kind of stays. My base case is that the kind of stays. between 100 and 110, but probably test the upside of that sometime in the next year. But I don't have a strong conviction, but that is what I worry about. I don't worry about the dollar going down because if it goes down, then I'm probably in pretty good shape. It's when the dollar rises significantly, the bad things start to happen. Okay. Just to make sure I understood, your default is an elevated dollar throughout next year, but no breakout to the upside that that causes sort of the knock-on effects that you're worried about. It's not the base case, but you have to be prepared for it. Right. The breakout to the upside is not your base case. But we're close enough that you're watching it closely because you are a little worried it could happen. And basically, you're saying, look, if you're wrong and it breaks out to the downside, fine, because then your other risk on asset should do pretty well. Exactly. Okay. All right.

You haven't seen it yet because it launched pretty much right as we got on to record here, Brent, but I just released a video with Jam Carson. I won't go into the nitty-gritty details of it. Folks can watch that video after this if they want to. Jam's all about volatility and studying where capital flows are going to go. but always kind of with an eye to where asymmetric events might happen. And he is kind of sticking his neck out here and saying that the odds he thinks are quite high that we're going to have, in his words, a crisis next year. Not necessarily a sovereign debt crisis, but something that causes the markets to plunge, and plunge meaning drop pretty far pretty quickly.

enough so that there is going to be a central planner response. It's the playbook that everybody's expecting. The high valuations we have,

something trips them up, they fall quickly. That gives the, who knows, the Fed, the Treasury, both of them, whatever, the green light to come in and shove a ton of liquidity in the system. He thinks that's quite likely. He actually thinks it's likely to happen in Q1. Who knows if he's right or wrong? We'll find out. His logic is compelling but I interview a lot of people with compelling logic and then things don't work out exactly the way they think. I'm sure you're familiar with that. But let's just assume for a moment that the dollar might be the trigger of that. Jim didn't say that but you've said there could be a risk of the dollar breaking out to the upside and then bad things happen. Just describe to me if it did.

How do you think the cascade of bad things happening would go? What would you expect to break if the dollar were to jump 105, 110? Are you looking for a trusted health insurance? Allianz covers you beyond borders. We deliver peace of mind just a click away with global telehealth access and round the clock support. Backed by two million healthcare providers worldwide, we're trusted as the number one insurance brand for the last seven years. Visit AllianzCare.com and explore our Singapore plans to find out more. Terms and conditions apply. Yeah, well, I think if the dollar goes from like 102 now, let's say if it goes to 105 in a hurry, I think you're going to see elevated volatility. If it then goes from 105 to 110 in a short period of time, you're essentially going to be having a liquidity event. And in a liquidity event, basically anything that isn't bolted down gets sold.

to meet margin calls or to raise the liquidity that's needed for debt payments or debt service or invoices that are owed or whatever it is. Because you got to remember, in a liquidity event, asset prices fall, but debts do not, right? Your debt stays at par. And so I think that would look very similar to what we had in 2008 or what we had in 2020 or potentially even what we had in early 2022 when the world was not ready for the Fed to aggressively raise rates. And so in that environment, I would expect everything to fall. I would expect stocks to fall. I would expect treasuries to probably hold up. I don't know if you could make a very good argument that yields would fall dramatically in that environment. I'm not sure if that's the case. I can certainly understand why they would.

But I think on a short-term fixed income would be a good short-term US fixed income is I think the place to hide out. I think gold and silver would probably fall in that environment just because they always have. And that's mostly because of the margin call factor, right? That's right. And I would expect US equities to go down. The question then becomes, does real estate start to fall precipitously as well? And I think that depends on how long this whole liquidity thing would last. In other words, if you go back to 2020, the liquidity event essentially lasted 60 days. You know, if you talk about most of February and most of March, and then it was kind of over. But if you go back to 2008, you went for...

Nine months nine months summer of 2008 to March of 2009. That's a that's a different environment Right, and it is so it so it kind of depends on how long it lasts but long story short is if you think that sim or Jim is right and that this is a higher likelihood than not or If your net worth is such that you cannot afford a 20% drawdown or 25 or 15, whatever the number is then you need to be prepared for that to happen. So you need to have some type of hedges. You need to have some cash on the sideline. You need to have a secondary liquidity source. Because what you don't want to do is you don't want to become a distressed seller in that environment. Because for the same reasons that your interview with him just noted, there will be a central bank response, right? Now the question becomes, does the central bank response work?

Traditionally, it has, but just because it traditionally has doesn't mean it's guaranteed to. So the point is, is you don't want to have to liquidate your entire portfolio at the bottom, but you also can't guarantee that that central bank response at the bottom is going to work. So the point is you need to have some liquidity already on the sideline when that event happens because you don't want to be the distressed player. You want to have the optionality to potentially be a distressed buyer. Right, or to be a buyer from distressed sellers, better way to say it. Yeah, right. Exactly. You want to be the buyer that's buying the distressed asset. Yeah. But you can't do that if you're fully invested right now, because you will be riding it the whole way down. You have to have liquidity at the bottom in order to be the distressed buyer. That's very true. So there's two things here. There is maybe having some liquidity now, dry powder, whatever, or at least hedges.

so that you are protected somewhat against the drawdown. So you get to sidestep at least part of it. The second part is having cash at the bottom to deploy the way you're talking about. And I just want to contrast that. There's a big difference between somebody who had dry powder, watched asset prices go down, then says, I think valuations are a scream and deal now. I'm going to go buy from these distressed sellers. There's a big difference between that person who was fully long rode it down then sold near the bottom because they just were like, I can't stay in this thing anymore. It's a capitulation sale because one, you've lost a ton of your starting capital and two, everybody watching this I think says, if this happens, it's going to be rough but I'm going to be the guy that buys into the bottom and then rides the central bank rescue recovery where all asset prices shoot the moon.

It is really not easy to jump in at the bottom, right? Because it looks like it's just going to keep on going down and keep on going down. And if you've capitulated out, then you're really gun shy. So you're going to want to have the market demonstrate to you that the bottom's in. But what generally happens there, especially if it's being engineered by a central bank rescue, is once you hit the bottom, it starts moving up pretty quickly. And then you start saying, oh gosh, well, the market's moved so fast, I got to wait for a pullback now. And then it might not. And then you basically get left behind. I just want to say there's a really big difference about having some stuff up front to protect you and to deploy later versus getting pushed out. And yeah, you got some capital left in cash because you finally capitulated, but you're in a much worse emotional state. So what you're talking about right now is exactly the point that I've tried to make over the years is that especially in the last few years where inflation has been a higher concern than deflation. And the thesis is that cash is trash. You can't have cash on the sideline because you're going to be getting eaten up.

by inflation and you're losing purchasing power. And yes, overall, that is true. But there's two parts of it that you got to remember is that number one, markets don't move in a straight line. So while the debasement of fiat currency over a 10, 15, 20 year period is almost guaranteed, there's no guarantee that that lasts over the next two or three years. Right. And the second thing is, is if you have some cash on the sideline and you get a pullback and you are and while that but while markets are going up, that

cash is a drag. Let's say you have 20% in cash and 80% invested. And let's say the market goes up 20%. And so you're up 16. And the other part of your portfolio is it's got to direct because it's not making any money. Well, first of all, you can actually get 4% now for sitting in cash, which isn't so horrible. But then the other thing is, if we get this strong drawdown that you're talking about, and you can use that 20% in cash to buy distressed assets. And then that distressed asset goes up 15 or 20%. You have more than made up for that drag that you had in the period where markets were going high and inflation was going against you. And so it's my belief, and I don't really have a way to measure this, but it's my belief is that...

The drag that is associated with having cash in an inflationary environment will pay off over time because markets don't move in a straight line. And if you can use that dry powder tactically during periods of high drawdowns, over time, you will be better off. Now, again, I can't prove it. I'm sure there's some mathematician out there will say, well, we back tested this. And, you know, that's not actually true. It doesn't to me the most important thing is is protecting your capital base and cons and the preservation of capital So if mathematically it can be proven that I'm wrong by a little bit I can live with that because I'm still in the game the whole point and I know I'm rambling a little bit, but I feel pretty strongly about this the whole point is is if you remain invested the Compounding effective returns over time will help you win the game But if you get knocked out, then the compounding doesn't matter because you're no longer in the game. Right. And so even if on a few years here and there you trail the market because you have a cash allocation, if it helps you remain in the game where other people get knocked out over time, you're going to be better off. Yeah, the way I sort of think of it is even if you're close, right, even if your strategy underperforms by a little bit in the super long run, The part that's parked in cash during the good times is a mild irritant, right? It's a, ah, I would have loved 20 this year instead of 16, right? But it is a massive benefit in boon during the drawdowns, right? That's exactly right. As you're saying, right? And so you can pretty much get to the same place, but with a much higher...

quality of living. You're not sticking your head in the oven or risking a heart attack during the tough times. And in general, just your level of risk is lower. And that's always the name of the game in investing. It's not

necessarily get the highest possible return. It's to hit your goals, whatever they are, by the time you want to hit them with the lowest risk possible. Yep, exactly. And going back to what Jim was saying about an elevated likelihood of a crisis next year, I will say that I have up until this point, and I'm actually, I don't know right now. And when I have an opinion, I don't have a problem expressing my opinion. But when I don't know, I also don't have a problem saying I don't know. Leading up to this election, I didn't have as strong opinion as I've had in the past. And so in other words, in 2016, I thought Trump was going to win, and he did. In 2020, I thought he was going to win, and he didn't. In 2024, I thought he would win, and he did. And then coming into this election, I didn't have a strong opinion, as I usually do, but I did believe that while there would be some Democratic gains, I did not expect them to be as strong as they were. My base case was that the Democrats would get the House, but would not get the Senate.

I was not expecting them to get the Senate, and I was not expecting some of the governorships to flip to the extent that they did. So that's a bit of a surprise to me. Again, I'm not shocked by it, but that wasn't my base case. And leading up to, and because I thought the base case was that the House was going to win, or the Democrats were going to win the House, and if you look back over the last, it's like, I don't know, the last 50 years, After the midterms, the market typically does pretty well. And I thought that with the Republicans in charge of the Senate and the presidency and the Democrats in charge with the House, that my base case was that we would just kind of continue on with the same, not screaming higher, but not some dramatic pullback. But markets don't like uncertainty. And I think that's what we're seeing today. The market's trying to figure out where to go from here. Now, if we would have had this pullback today, with both the House and the Senate still Republican, I would probably be buying the dip because I think there is less uncertainty associated with that than what we have now.

I think right now we don't know exactly what the Democrats are going to do. We don't know if they're going to hold a number of trials and investigations. We don't know if they are going to try to pass a bunch of stuff right away to counter the moves that Trump has already put in place. We don't know for sure how Trump will react. There's, you know, lots of theories out there, but the bottom line is we don't know. Can I interject with

one second until you address it in your answer? I think one of the things that heightens the uncertainty here is so much of the markets and so much of the economic growth centers around AI capex spending. And a lot of these people got elected, especially the governors, on an anti-data center platform. And so one of the things they're trying to digest is, is the AI spending juggernaut going to be able to continue or is a monkey wrench going to get thrown in it? Because if it is, we got to reprice everything.

Exactly right. And that's the uncertainty. People are trying to figure out what are they actually going to do. Now, here's where I think it gets interesting. On the one hand, it matters a lot, but if you zoom out, I don't think it really matters who won the midterms. Typically, the opposing party does come out ahead in the midterms. That's not an unusual event, right? And so, and it's not unusual to have a divided Congress versus the president. Yeah, and sorry, just to underscore your point though, I've had tons of people on over the past year presenting the data that show that not only does the midterms usually go against the incumbent, but also in a presidential cycle, the third year.

i.e. after the midterms, is the strongest year in the stock market. So just historically, it's always kind of gone this way and yet the world hasn't ended. Listen, and this is one of the points I was trying to make. I think I sent out some posts yesterday and this is going to take me a minute, but if you don't mind, bear with me. Yeah, and if you want to talk to those charts you posted, let me know and I'll pull them up as you're talking. Not yet. But the first one I would say is in 1994, I was a congressional intern in Washington, D.C. And that is the year that Newt Gingrich and the Republican Party came out with this, what was it called? It was called the Contract with America. They had all these ideas that they were going to change things and they were going to institute these new policies and it was going to be the dawn of a new era.

And they won, and they had a huge landslide. That landslide was very similar to what just happened on Tuesday. But Clinton was president, and so they were kind of at odds for the next five or six years. And then Bush won, right? Bush came in, and this was going to be a new era. But then eight years later, Obama won, and this was going to be a new era, right?

Compassion of conservatives, hope and change. And and but but did Obama really matter all that much? But yeah, Obama didn't really change all that much stuff. And then MAGA came in. And this was going to be this new dawn. We're going to make America great again. And then four years later, he lost. And then four years later, he won again in two years. It was just two years ago that everybody's like, Oh, this is the new Republican wave. They're going to be in power for decades. The Democrats really shot themselves in the foot.

Well, then you know what? Two years later, Trump shoots himself in the foot, and now the Democrats are back. So my point is, is for the last 30 years of my life, these swings back and forth always come with big proclamations, big promises that never really materialized. Now, will it materialize? Maybe, but you're going to have to actually show me before I fully believe it, right? And it's possible. that if we have this market event that we're talking about here in the next two years, the Republicans will blame it on the Democrats who just came to power, and they will say, see, this is the market voting on your policies. And I think the reason the Democrats won this time was really not about Trump's policies, but about the economy. You know, it goes back to that whole thing. It's the economy, stupid.

Right. That was that was the slogan back in 1992. So if the economy continues to get worse over the next two years, who's to say it doesn't flip back again? So my point is, is I think a lot of people want to ascribe certainty to what happened on Tuesday. And I just think this is very far from certain. So one of the things that leads me to believe that it's we're just not certain where this is headed yet and why the Democrats winning this election. don't necessarily change my overall thesis is my overall framework has been based on historical precedent, and that precedent typically plays out over a very long time period. Now, this has played out multiple times in history, but the one that I use most often, because I think it is the best demonstration, is Rome in the years like 130, 140 BC to like 60 or 70 BC.

And during this period of time, a lot of the problems that Rome was dealing with are remarkably similar to the problems that the United States is dealing

with now. And during this time, you saw a very strong political infighting. You saw these different cult of personalities. You saw families come and go that were politically dominant. You saw foreign wars. You saw inequality. And these policies would swing from one extreme, and then they would come back to the norm. And then they'd swing to an extreme, and then they would come back to a norm. But over that 60, 70, 80 year time period, if you looked at the overall trend, it was decidedly in one direction. And this is what I call kind of the pendulum and the ratchet. I think the pendulum of politics is going to swing back and forth from the left to the right based on what's going on in the economy or social issues. But I think we're in this period of time where history, we're going to go through this fourth turning and the whole world is decoupling, the whole world is deglobalizing. And I think that overall trend is going to last 10, 20, 30, 40, 50 years, regardless of what happens year to year politically.

And in many ways, I think Trump is a symptom of what happened. In other words, I think Trump is a response to the market. I don't think the markets are responding to Trump. And my position has never been predicated on Trump needing to be president. When I first started talking about my overall viewpoint, Trump was president, but when he lost in 2020, my viewpoint didn't really change because I thought historically, this is where we were headed. And so whether the Republicans lose in 2028, whether the Democrats have some masterful campaign over the next two years, to me, it doesn't really matter in the overall scope of things. I think history is taking us in a certain direction, and the politicians are just a symptom of that.

And I think that overall market environment, both geopolitically and domestically, is going to lead to certain outcomes regardless of who is in power. So my thesis always has geopolitics and political inputs in it, but those geopolitical and political inputs are not determinant upon the direction, if that makes any sense. It makes sense. So what I'm taking from what you're saying is, for everybody freaking out saying, hey, the world just changed because we had this big swing in regime, you're like, no, not really. Big picture wise, I still expect the same things to happen over the arc of time. Yeah. Let me give you a really good example. And if I am proven wrong on this, I'll come back on the show and I'll say, oh, hold up. Yeah, I got this wrong. Let's use Venezuela as an example.

I don't think the Democrats would right now say, oh, that was a masterful move by Trump, or that was something that should have happened, or that was in our U.S. national interest, right? For a lot of reasons, I'm sure they would take the other side of that. But if they stay in power, let's see whether or not they give the oil or the energy back to Venezuela, right? Let's see if they say, hey, that was a mistake. We're going home. The United States companies are no longer going to be involved, and you guys are on your own. I don't think that's going to happen. Now, maybe it will. And if it happens, I have no problem admitting that. But my point is, is behind the scenes, I don't think that they are really that upset that the U.S. now controls that biggest energy source in the Western Hemisphere. They might not like the way it was done. They might not have done it the same way themselves. They may think it hurt us from a visual standpoint in the short term.

But from a big picture standpoint, I don't think that they are really going to be that upset that it is now under US control. No, I get that. And I would just use another example, whether it was the current administration in power or whether it's the next president, if they're a Democrat, you probably don't think much is going to change in terms of our fiscal spending profligacy. And so the knock on issues that come from that. That's not really going to change very much. No, I remember I was on a program. I think it was with George Gammon sometime around right after Trump got elected and the, the, the, the, and maybe it was just before Doge. And, um, the comment was, well, you know, the Republicans are going to rein in spending and they're going to cut the budget. And George and I, we both just started laughing. We're like, that's, that's so silly. That's not going to happen.

Right. And so I don't think that's going to happen now. I didn't think it was going to happen then. I don't think it's going to happen now. And in some ways, having the Democrats back in power kind of moves us back to where we were either, you know, five years ago or 15 years ago. And under that scenario, the US was still the dominant power in the world. The US was still the biggest economy in the world. You know, they still had the global reserve currency and the rest of the world still On a relative basis had less power than the United States. So it doesn't mean that the US can just do whatever it wants It doesn't mean that there's no blowback. It doesn't mean

that things can't go wrong but I just not yet ready to say this is a Wholesale change and the United States role on the global stage is now going to fall precipitously I just to me that that doesn't square with reality So again, what I'm taking from you is just, hey folks, if you're wound up about this one way or the other, take a beat. It doesn't really change the grand arc that you are playing, the game that you are playing. I just want to note one thing too that you said because I totally agree with it. One of the reasons why, so in some ways, we've talked about the political situation a lot this year and it's not to take any sort of partisan viewpoint, even though I get a lot of people who think I'm total pro-maga and I have a lot of people who think I'm a total commie as well. It's really funny. But the reason why I do it is because obviously policies impact the economy. And I'm of the mindset, I think it sounds like you are too, which is that unless somebody is feeling really confident and really flush, when they pull that lever, they're really voting based on Maslow's hierarchy of needs on the base of the pyramid. If they're not feeling safe security-wise, they don't feel like they have enough money in their pocket, that's really going to drive their vote. I think we just, in many ways, saw a lot of that. I'll probably get a lot of pushback of people who said, no, people voted against Trump for all these other reasons. But I think largely it was because people are still feeling pain in their pocketbooks. What's so interesting is you could make the argument that, okay, well, you were feeling pain in your pocketbook when Trump got elected. That's why people still have the fresh memory of the 9% annual inflation and the massive spike in cost of living. So all right, throw out the old guys, bring in a new guy with a different plan. Inflation is much lower. Prices haven't come down materially and the price of gas is high, but it was high at times over Biden as well. But the fact that it's still not great was enough to oust the current roster of people.

Right? So you can make the argument that it's not relevant to go back to the old playbook. That was even worse. But people just think in the moment. But I don't feel good now. So I'm going to just throw the bums out. Yeah, I don't think the people that voted red in 2024 voted blue this time because of immigration policies or because of border policies. I don't even think they so much did it because of the war in Iran. as they did the knock-on effects of the war in Iran, which were more expensive. Exactly. And so from that perspective, it's an own goal by the Republicans for trying to pull that off,

you know, six months before a midterm, right? What I would say on that, though, the other thing, here's the other part of it. I don't think that that story is over yet.

I don't think the United States is going to turn all the ships around and bring everybody home from the Middle East and that the Iran situation is now over because Trump lost the midterms. Now, that might happen. I can't rule it out, but that's not my read. My read is that as long as Trump is president, which... For now, it's another two more years that the policies towards Iran are going to stay what they have. I don't think it's over yet. I think there will be more action. I don't know how exactly it will take place. I don't know when, but I would be surprised. And again, I'm happy to come on here if I'm wrong. And if the U.S. kind of turns and comes home and does nothing else there, I'm happy to come and say, yeah, well, they did. But regardless of which way they do it. And this is I don't know if you have that second chart that I that I sent you is I think this is the better way to look at the role of the United States in the world, is this is a distribution of outcomes. And the point that I've tried to make many, many times is that capital markets, geopolitics, the world in general, is a relative game. And if you don't think that this administration and every administration before it has a plan or has a foreign policy objectives, I'm just going to disagree with you. You may think they're misguided, but there is a current plan. And it's not even Trump's plan. And it's something that has been planned for literally decades and contingency plans put in place. But just because a plan exists doesn't mean it's going to be executed perfectly. Now, this plan obviously was not executed perfectly. But part of the reason even though it's been around for 20 or 30 years, part of the reason it hasn't been attempted is because it is extremely hard to do. And if you screw it up, the political cost is extremely large, which is exactly what we just saw. But if you think about it like a poker game, and listen, I know some people are going to say, Brent, this isn't a poker game. Real lives are at stake. I agree with you. But that's not the way the people in Washington think.

The way the people in Washington think is that it is a game and that they are the big stack at the table and that they will use their power and their weight and their skills and their design of the system to reach a favorable outcome for them. And as long as they can take the left tail off the case,

which means they are no longer the big stake at the table, every other outcome is either best or acceptable. I think that is still the case today. Even in Iran, in Venezuela, with the economy, with relations with China and Russia, it doesn't mean everything has gone perfectly. It clearly hasn't gone the way they wanted it to go. But that also does not necessarily mean the U.S. now is no longer a power on the global stage and that the rest of the world is quote-unquote automatically going to take over.

And I think if you start looking at things as a distribution of possibilities rather than trying to predict everything perfectly, I think the board becomes much more clear because I think that's the way the people in power think about it. Now, obviously, when things go against them, they don't like it and they may have to implement contingency plans or new ideas. But largely, I think this is when they're trying to make a decision whether to do or... do something or not, this is how they look at it. All right, I think this is super helpful. I love that point about looking at a continuum of distributions as opposed to just trying to put all your arrow behind one event happening and being right on it. All right, I got to move on from here only because time is getting short and there's some other really important things that I want to talk to you about here. Let me get back to your slow shave.

framework for a second. So you said the things that are going to kind of increasingly weigh on other countries, which also will on the U.S., just not quite as heavily, is that on a going forward basis from the past couple decades, these countries have to spend more on the following. One, debt service. and that's because the cost of their debt has been pushed higher by the market. So again, that's just more stuff. You got to pay creditors versus being able to invest in your society. The second is they're having to pay more in Europe. They're having to pay more for defense. And this isn't just Europe, but Europe's really feeling the pinch because the US was basically covering the check until recently. So now they've got to also steal from what they were going to put to their social programs to now invest in defense. And then third, to the extent that they're investing in AI, in those countries, there's AI spend that they have to do. Again, they weren't doing that before. Now, hopefully, there'll be some nice return off of that, but it's going to be at some point in the future. But those are three big things that are taking what used to be cash flow that they could spend elsewhere, and

they're now having kind of a sunk cost, if you will. Again, that's true in the US, but it's going to weigh more on those guys. Here's the question I have. You've seen the charts that show that China is by far right now the global leader in electrical generation capacity. US is racing to catch up. Europe's in a world of trouble because they've under invested in a lot of their energy infrastructure. China is the winner in electrical production, and that's a huge part of the AI race. As I am any guest here have said, that race is largely going to be one on who has the biggest supply of the cheapest electrons.

In the U.S., we're trying to catch up there, but we're also saying, okay, well, once the playing field's even on electrical generation, it's going to be won by who's got the most compute. So we have more data centers than everybody else. So where I'm going with this is, it's a question I've asked Michael Every, and I'd love to get your thoughts on it, because I know you and Michael know each other well and build on each other's thinking. As the world goes on and the US tries to protect its exorbitant advantages that it has, which is part of your framework, how likely do you see is compute becoming a weapon, right? So like Europe is not investing in data centers the way that we are. So if they want their AI models to be able to do stuff, they're going to have to basically rent US-based compute to get it done.

Is this another factor like stablecoins, which we haven't even talked about yet, where it's like, hey, as long as you're playing along with us, great, but if you're not, really sorry, your token prices are going up, or you know what, there's just not as much compute for you this month as there was last time. Could this become something like another exorbitant benefit slash cudgel that the US wields? I think 100%. Over the last three or four years, well, over the last five or six years in presentations, I've kind of talked about this overall power competition. And in the last couple of years, when we started our research service, we've written about this extensively as we think that the underlying driver of everything going on geopolitically and in many cases in the capital markets these days or over the last couple of years is this great power competition between the United States and China.

And we think largely the power competition between United States and China is a technological race or an AI race. In other words, we think it would be extremely difficult to lose the AI race and yet remain global

hegemony, right? Or win that overall power competition. We think the technology component is the highest or one of the highest components in that overall race. And so this actually leads to, I think, some people misunderstand my position when it comes to China. I think because I push back on this ascendant China narrative, and that is an automatic given that I think that they're not formidable. That's not the case at all. I think they're extremely formidable. Their manufacturing prowess is obvious. I don't need to go into the details there. But a big part of their ability to generate this compute is what you just talked about, their electricity production. Those two things alone make them extremely formidable. My point has just been that just because they're formidable doesn't mean it's a given. And just because the United States has challenges doesn't mean it will automatically lose.

I do think that in the last three or four years, the United States has kind of finally woken up to this problem, if that's the way you want to describe it. And they are putting efforts in place to counter this. And I think that makes a huge difference. But China has many problems of its own as well. But this electricity generation is not one of them. And it is a big deal. And so in my mind, there is no question that the United States and China will weaponize compute if needed. And I think the losers in that are probably Europe, Africa, Southeast Asia. And again, part of the reason that the electricity generation by China is such a benefit to them is the likelihood that traditional energy sources are going to go up in price.

Where there's natural gas whether it's oil whether it's diesel, you know All of these other things and that's what you know at the beginning you said or just at the beginning of this little segment You mentioned there's three things that are caught gonna cost, you know Europe to spend more but the thing you didn't mention was was energy Because remember energies priced in dollars traditional energy regardless of where where it's sold in the world is Priced in dollars now it might be invoiced in the yuan or it might be invoiced in euros, but it's priced in dollars. And as that energy price goes higher and as the dollar remains strong versus the euro or other currencies, that is another source of pain for Europe to remain relevant.

And so, again, this contributes to their ability to service that debt, which then goes back to the whole point of that paper we just wrote about they're going to have to probably implement financial repression to service that debt. Which, obviously, one of the benefits of that is assets like gold will continue to have a tailwind behind it. Well, certainly in euro terms. If we get into this liquidity event that you were talking about earlier, I think it probably falls in dollar terms. The question is, does it fall in all currency terms? I don't know, because if the euro or some other currency is falling precipitously as well, it might not fall as much in euro terms.

crisis as a given in this conversation right now. Crisis calling super-duper hard. It's the end tale there from your distribution, so don't hang your hat on to all folks. But I'm guessing, and correct me if I'm wrong, if it does happen and precious metals do fall, largely, as I think I mentioned earlier and you agreed due to sort of the margin call factor, you wouldn't expect them to be down and out for all that long, right? That they can get whacked in the downdraft because just things have to get sold to meet margin calls. But they would probably recover in and of themselves from that once the margin calls stop. And obviously then when the rescue comes, that's an asset that you would expect to do really well if it's the traditional open liquidity floodgates type of rescue. That's right. Okay. So we didn't get a chance today to talk more about stablecoins, which we did get to do at the conference that we were at a week ago at the New Orleans conference. So I guess I'll just sort of let you wrap here by giving any update on your stablecoin outlook that you would like to give and maybe in your answer talk about how perhaps your thoughts on why perhaps the adoption hasn't proceeded as swiftly as you thought that it might. Not that it hasn't been proceeding but maybe that as swiftly as you thought that it might.

Well, we put out our first report on this topic about a year ago, and we called it Empire by Code, because we think it's a way that the US has co-opted���when I say the US, I kind of mean the US government���has co-opted this private market innovation called stablecoins, which is really kind of a parallel system to the traditional monetary rails and plumbing that works. And we think that they figured out a way to kind of co-opt that system to their own benefit. We think that that is well underway. We think the powers that be, actually we know the

powers that be have recognized this and are working furiously to kind of implement these policies. I think part of the reason it hasn't proceeded as quickly is again markets hate uncertainty and because they hate uncertainty There's been some slowness to fully implement these possibilities. And in fact, there's this thing out there called the Clarity Act, which which is a follow on to the so the Genius Act kind of legitimized stable coins. The Clarity Act is seeking to make more clear the rules, regulations and the the possibilities surrounding this this emergent technology. And until that is clarified.

I think that is probably holding things up. But regardless of where it eventually comes down, what the rules are, what the possibilities are that are allowed from a regulatory standpoint, I think this becomes a much bigger issue. And I think it grows tremendously. And if we do eventually get into this sovereign debt crisis or currency crisis, I think the use of stable coins will I think that would be the tell because I would expect them to be used a lot much more dramatically in that type of an environment as part of the solution as part of the solution exactly So anyway, so but but long story short is yeah I feel like we're kind of swinging back and forth on the pendulum But in my mind the ratchet is still moving in one direction and it's all moving towards You know redollar ization as opposed to D dollar ization. It's moving towards the US being more authoritarian, for lack of a better way of saying it on the global stage than they have traditionally been. And while that will certainly cause pain in US markets, and perhaps from a reputational standpoint, I think the rest of the world will feel that pain more acutely than the United States does. And I think from a big picture standpoint, from the planners and the, you know, the mandarins pulling the strings, I think that's an acceptable outcome to them.

So if people hear me saying this and they say, how is this going to benefit me? I don't know that it is going to benefit you. Right. I think this K shaped economy probably continues to grow. I expect that inequality will probably continue to move in a negative direction. which I don't like any of these things, but I try as hard as I can whenever I do these programs to not tell what I would like to see happen, because what I would like to see happen I think is largely irrelevant. I just try to look at the board as dispassionately I can and come to a conclusion of where it's headed, and I think that's where

it's headed. Okay. All right. I got to start wrapping up here, but you and I have had enough discussions that folks, if you haven't...

If you haven't listened to my previous discussions with Brent on stable coins and you want to learn more about this, which I completely urge that you should go to Thoughtful Money's YouTube channel and just search up Brent and you'll see the videos that we did earlier this year. I think we did the first one November of last year, so a year ago, and then we did one or two more since. And it is mind blowing, mind expanding in terms of why, as Brent says, the trend is more likely to be a redollarization of the world versus a de-dollarization going forward. And the more I think about stablecoins, Brent, the more I see them as a very unfair advantage that the US will wield in this grand story that will support the dollar milkshake, that the US dollar is going to be dominant for a lot longer than many folks are thinking. I am increasingly, though, thinking similarly about compute.

I mean, I don't think we're going to weaponize it from day one, but it is so clear to those who use AI that it is the future of commerce. It is the way of the world going forward. And that is going to be built on compute. And kind of unlike the fiber optic cables that the internet runs on, which are kind of, they're worldwide and fully distributed. Nobody really owns them. There's nobody who's really a toll keeper on them. I could see compute being toll kept in the US and potentially China might be doing the same thing. But to me, it's just a massive ring of power, if you will, that the US has that I don't think is on anybody's or not on many people's radar right now as a way for the US to affect what it wants to have happened elsewhere in the world. And one of that things will be keeping the dollar strong and dominant.

Yeah, it's maybe not one ring of power in it. Now it's the infinity gauntlet. It's one of the stones in the infinity gauntlet in the US here. Yeah, exactly. Okay, so just in wrapping up here, if I'm remembering correctly from our previous discussions, you managed capital at Santiago Capital, and I believe your allocation is mostly the following. Please tell me if this is still correct or if you've made changes. You've got some cash equivalents for the reasons that you mentioned earlier, kind of just dry powder, blue chip US stocks, real estate, gold, and then now essential commodities, commodities

that the US and other sovereign governments are saying that they're elevating to say, hey, we really need these things going forward, rare earths, that type of stuff, as well as What I'll call it pro-sec trade, and that's a term I'm stealing from Peter Cher, but these are industries that are going to be very essential to national production or national security going forward, so reshoring of manufacturing or homeland defense. Did I catch it right? Yeah, that's right. What we will often do is when we see a big tactical trade or a big theme that we think is going to play out, over the years ahead, we will try to find an asymmetric way to play it. And the reason is it allows you to take a smaller percent of a portfolio and put it into a theme. And because we think it's so asymmetric, it can end up having a big impact on the portfolio, even though you're not taking a lot of risk because the piece of your portfolio is not that big.

And the pro sec, if that's how you want to call it, or or defense initiative, or, you know, national security initiative, we think that is probably going to be the biggest wave of capital with the possible exception of well, AI is kind of part of that now, right? So we think it'll be over the next five or 10 years, we think it'll probably the biggest wave of capital we've ever seen. Now that's I've been doing this for 26 years. And I've seen quite a few comes and goes I've seen both booms and bus. I think that that arena will see more capital flow into it than anything I've seen before. And if I'm even a little bit right on that, we have the opportunity to make a lot of money. So we think we have a pretty unique way of playing that. We think it has asymmetric upside and it's pretty exciting. All right. Well, we're going to have you on the program many times going forward, Brad. So as that trade develops, We'll just have you come back on and let folks know how you see it going and if you can provide any additional sort of detail as to how you guys are playing there at Santiago Capital. I know folks would love to hear that. Okay, yeah, I'm happy to do that. If anybody has any questions on that now, they can email me or call me. I'm happy to share how we're doing it. Okay, great. Well, this is the point of the video where I say if folks want to follow you and your work in between now and your next appearance, where should they go?

Probably the best way to Follow along with us on a daily basis is Twitter because I'm always making comments there and interacting with people So

if you go to Santiago a you fund on Twitter We have a weekly show that we do called milkshakes markets and madness. You can find that on YouTube We have two different levels of research. If you go to research Santiago capital calm You can see the two different levels of research that we provide there. And then that stuff is also available just at santiagocapital.com. So there's a number of different ways to interact with us or follow our work. All right, great. And Brent, as usual, when I edit this, I'll put up the links there on the screen so that folks know exactly where to go. Folks, the links will be in the description below the video as well. Brent, always such a pleasure. Thanks so much for coming on doing this. I will note...

The Nasdaq is now down about 6% and the S&P down 4%. So definitely kind of a bloodbath in the markets today. Going to be really interesting to see what happens coming out of this. Buckle up. All right. Thanks so much, buddy. All right. Thanks. All right. Well, now is the time of the program. We bring in the partners from New Harbor Financial, one of the endorsed financial advisory firms by Thoughtful Money. I'm joined today by lead partner Mike Preston. John Lodra has the week off. He's traveling. Mike? Thanks so much for joining us. Let's just tackle the elephant by the trunk. Maybe that's the wrong analogy here, but face the bull directly. The markets are melting down as we're talking about here. As I mentioned, the Nasdaq is down close to 6%. S&P was down around 4% when I checked just a few minutes ago. This is, I think, the biggest down day in a couple years.

Let's talk about how you as a capital manager surf slash survive a day like today, and specifically, how is New Harbor's portfolio doing versus the general carnage we're seeing out there in the market today? Hey, Adam. That was a good interview. Thanks. It's a really difficult market, Adam. Like you said, we're seeing one of the biggest down days in a couple years. Nasdaq's down about six. S&P's down around four. Taking a look at the Nasdaq composite. It's down around 24,000 right now, which seems like it could be a support area, but who knows? When things get this crazy and emotional, anything can happen. We could slice right through. It almost feels like this market could...

literally crash from here or have a face ripping rally. And so that's what's so hard is that nobody knows the future. The only thing that's certain is that the

future is uncertain. And if anyone says they know different, they're lying, including me, including us. What we go on is probabilities on long-term averages, on support zones, on resistance zones. We set our allocations, our risk level, based on what our systems are telling us and what the macro environment is giving us. It's not an exact science. I'd like to say it is, but it isn't. It's an art. Really, a lot of it is an art. And art basically is skill combined with interpretation. So skill and experience. How do you actually apply that? What type of risk level do you set? What are your stop levels? How do you know when you're wrong? That type of thing. So things are getting pretty emotional out there. And there's no doubt that we're very, very overvalued. If we talk about the macro.

We've talked about that for years. We're probably three times the long-term averages on the S&P 500, but we're also in a regime or a realm that almost has to stay that way, or the whole scheme worldwide kind of starts to fall apart. So we're all forced to play this game the best we can. I can tell you this, the NASDAQ is close to 12% down by my Latest calculation and it's it's just up a couple percent for the year And so we should when you say 12 percent down over what period of time? I just don't from the high counted from the high. Okay. I did it down 6% today, but but not 12% today. Yeah, that's right I mean that's true, but 6% of that 12% is till it today alone and that's quite a lot and some of these AI stocks are down 50 60 percent in just a couple weeks and so There's a lot of fear out there. Now this type of fear, and you can take a look at the VIX. I could show a chart of it in a little bit if you want. The VIX is up in the high 20s. It has spiked very, very quickly. Now it doesn't mean that it's going to reverse. It means that fear has come into the market very quickly. So what do you do? What do we do as a money manager? We're holding up pretty well. We're holding up okay in the face of this. Our model is down today, but it's down a fraction of what the S&P and the NASDAQ are down. First of all, we're not fully exposed. I mentioned earlier, we set our risk levels based on what the macro is telling us. The macro is telling us that valuations are absurd. At the same time, believe it or not, most of our signals have been in the green zone and strengthening. We've actually seen some broadening in the market before today. We'll see what the indicators say after this, but we actually saw some constructive things and we actually just went up slightly over the last week from about 39.5 to 42.5 stock. However, we have a few of our positions that

are violating levels here today and we're almost certainly going to pull the trigger on one of them later today by the time you watch this video where we're going to let energy or energy services go, which should bring us back down to around 37.5% stocks. Now we come on here every week and we're talking about being 38, 40, 45% stocks, that should tell you something. We know that we can't predict perfectly what happens next, and we don't have to. We have to have some underlying gains with equities, hopefully with our risk levels like we have, and hopefully some of the other stuff we're doing.

kicks in like gold, silver, miners, and that's been a big contributor last year. It's been a little bit of a drag the last couple of months, to be honest, but you don't have to go all in. Let me just note there that the day that we're talking here, at least for now, gold is up for the day about a percent and sober is up a teeny tiny bit, but they are so far providing ballast in your portfolio. They're not getting dragged down with this tech wreck. Absolutely. And it's nice to see. I know that you and Brent talked about the fact that we might see gold, silver, precious metals down if there's a big market crash, because that's essentially what's happened a lot of times, but not always. It happened during the great financial crisis. But if you look back at the 87 crash, it did not happen. Gold, silver went up. So I don't know that I'm convinced that gold and silver is going to go down just because the market goes down. I know that when the Iran conflict started, everything was sold. It was kind of like a sell everything moment, but here now today and one day does not make a trend, it's nice to see gold, silver and metals holding up. Yeah. In many ways, again, this is a one-day case study, folks, so lots of things can change from here, but it's sort of a demonstration of what Brent was saying, which is if you are concerned, as you guys have been very vocal about, extreme market valuations and there being a material downdraft, you guys have had some dry powder already on the side. You said you've had your equity exposure down 40% or less at times and you've had some hedges in the portfolio.

Gold being one of them. But have you also had, I mean normally at U Harbor, you guys do a lot of risk management using defensive options. Did you have any put options at play in the portfolio prior to today? We sometimes do and I'll come right out and say that unfortunately we do not have index puts right now. And the reason for that is the underlying signals

that we so closely follow have all been flipping up to the green zone, right? Other than tech, right? Other than tech, things have been broadening out. We saw great action in healthcare, and we still see it. Healthcare is a leader in our portfolio. We pivoted to that about a month ago. We added to it and made it a full position about a week or two ago. We added software as well, which is holding up surprisingly well even today. It's down a little bit, holding up really, really well. So we added healthcare and software, but we took out a few other things. And like I said, we're gonna sell...

it looks like we're going to sell energy services today. It's going to bring us to around 37.5. But no, nothing's perfect. Looking at the market right now and the spike that we're seeing in the VIX, I wish we did have them on. But we're managing risk by low equity levels, 37.5 as I mentioned today at the close of business. The one thing that you and Brent talked about that I underlined here a few times is liquidity. Do not be a distressed seller. This market will find your weakness and it'll push you into a corner and it'll make you pull the trigger and capitulate. And that won't happen if you have some liquidity and you're not overexposed. If you've got leverage, if you're on margin, you're not going to be able to survive that.

And that's one of the things we've been talking about is the fear meter's been creeping a little bit over recent weeks, but in general, we've largely been just at a very high level of speculation in the market historically, and it's those speculators that really get carried out on stretchers on days like today. Yeah, and I really wonder who's being taken out today, Adam. I think that we might find in the next couple of days, we might see some stories. Do you think there's some big institution that's been caught here and that's why we're seeing such a big day today? It feels like it. You can take a look at the minute-by-minute chart and I can bring some up if you want of like small caps, mid caps, S&P equal weight. It's like literally every minute just straight down like with no uptick and these are the types of times that you learn later that there's been one or two or more players that were basically squeezed into that corner that were forced out of the game. So we'll see.

Like I said earlier in the video, maybe we do crash right from here, and we have a plan for that. We're not betting big on that not happening. But I also wouldn't be surprised as we're approaching these support zones if we get a

big move higher here. There's a lot of damage that's happening. I think the next couple days will tell. I still don't think the whole meltup theory is dead. It certainly has taken a lot of water over the bow here, but we need to see how we close today and what the next couple of days bring. But if you're forced into the corner, it's going to really stink. You have to have a plan. And that's why we're selling a position today. We're raising some more cash. If things get worse, we'll sell some more positions. Unfortunately, there's always some give back. In general, we're still positive on the year, but we've given back a chunk from the highs. And I wish that didn't happen because No system is absolutely perfect. What we were really hoping for is some kind of blow off parabolic top so we could sell into that and reduce into that. And maybe we'll still get that chance. But this market has been really, really stealthy sideways for so long with only AI stocks and tech working. And then those stopped working. And then some other things start working like health care. Although if this continues, everything will come down. But right now, all I would continue to coach people to do is raise some cash, don't be mentally cornered. Like Brent said, it isn't easy to buy the bottom and we never know when the bottom is. You just don't. So you have to have a plan of how to ease out and ease in. So today we're going to ease out a little more, but we're going to go right back in the next couple of days if we get a reversal. Okay, so a couple of things. That reversal risk I think it's more likely, this is my personal opinion, I think it's more likely than not because that's been the trend of the market for so long here. We haven't had a big crash anytime in the past couple of years. We have some flushes like this and then things continue to the upside. When Lance Roberts was on for the market update last weekend, we were looking at the technicals and He didn't necessarily think this was the most likely outcome, but he said if the market was to start to break to the downside, the technicals look like it could get down to about 72 or so if it broke the support line, which it obviously has. S&P right now is about 74, so we've already made a fair amount of progress down to potentially 72, but we could get to 72 and bounce right off of that, and that wouldn't surprise, I think, many technicians.

So I think the market's going to have to prove to you it's sicker than it's just looking today before I think you should start thinking about crash mode here. I also want to note, too, I mentioned the interview that just released

with Jim Carson. While he was very concerned about what he thinks is going to happen in early Q1 of next year, he said from a flows perspective, it actually looks very supportive of an end-of-year run here, like a positive end of year run to the market. And so could we flush out today and maybe another day or two from here and then have a vicious face ripping rally, like you said, Mike, absolutely within the realm of the possible. I think so too. And if I could just share up a chart so that your viewers could see what we're talking about here, I will go ahead and do that. Absolutely.

We deliver peace of mind just a click away with global telehealth access and round-the-clock support. Backed by two million healthcare providers worldwide, we're trusted as the number one insurance brand for the last seven years. Visit allianzcare.com and explore our Singapore plans to find out more. Terms and conditions apply. Let's take a look at the two main indices here. Here's the NASDAQ composite atom and take a look at this dotted line over here. That's the beginning of the year. This is a big down move and went right through the 200-day moving average. So this 23,824,000 zone It should be big support. That's where the breakout happened. We had the Iran conflict, and then kind of all this deal talk, if you remember that. And that's what brought us into what I would call the blow-off. Now, since then, above 24,000, it's been nothing but shop, right? Sideways. The NASDAQ before today was trading back where it was in April, May. And of course, today, it takes all these levels out, and it takes out the July lows.

Look, shoot, if this goes much further, it's going to take back all of the year's gains. That's why it looks so dire. This is important here. Are we going to crash or are we going to have some kind of bounce in the coming days? I still think, believe it or not, we're likely to have some kind of bounce in the coming days. Here's the key that I want your viewers to realize, though. We're not doubling down here. We're actually reducing exposure, not increasing it. Now, that's what a professional does. That's what I would tell your viewers to do. Have some kind of plan so you have some dry powder so you never get taken out of the game. Let's take a look at the S&P. Look at the S&P. That is one day right there, minus 4%. We haven't seen a day like that in at least a year and a half that's on this chart. We're well above the beginning of the year but the S&P had this blow off

here or enter into the blow off back here and we're about, I don't know, 200-300 points above there.

but that 7200 zone that you just mentioned is right there. Could we go down there? Absolutely. One last chart, I guess. Everyone's talking about semis and AI. I mean, take a look at that. That looks pretty bad, right? Semis took off, had this big trading range, and now we've broken through the bottom. Is this a big head and shoulder top? No one knows. It looks pretty terrible. It does. Well, let's see what... I mean, there's some gaps there. Maybe some hopeful would say those gaps need to get filled, but I don't know. I would say if they get filled in the next couple days, maybe you can cancel the crash, right? But right now, people are nervous and for good reason, right? Because they're giving back some big gains here. So just don't be too brave in either direction. You have to make a call to some extent. I talked about the art of all of this earlier.

If anyone knew the future, we would just either be all in one thing or either all in whatever is going to work best or all in T-bills if we knew it was going to crash, but we don't. So I think the next couple days will tell. See if we can fill the gap on the semiconductors that I just showed you. See if we can bounce off the 200-day moving average on the S&P. See if that level on the NASDAQ holds. And it doesn't have to be exact. This can happen any time in the next few days. There probably won't be a pinpoint turn. Okay. So we're recording this midday on Thursday. So A, we don't know how this day is going to end. Who knows? Maybe the market gets rescued here. We don't know what's going to happen on Friday, obviously. But what I want to talk to you about is just about investing in times of turmoil. And this is a microcosm of one, really bad day in the markets.

What's going to happen from here, we don't know yet. But the reason why I want to dig into this is if Jem is right, and I don't know if he is, folks, he's a smart guy, he's got his own framework, it's giving him high enough confidence to stick his neck out there and say, I think something big is going to happen in terms of a market correction in Q1, so big that it's going to engineer a central plan or response. Let's just assume for a moment that that does transpire. I want folks to remember how it feels right now. This panic, this disbelief, Nasdaq down 6%, the bargaining that starts to go on in

your head with God, just please bring it back. I promise I'll sell and I won't be as long or I'll take off my speculative positions or whatever.

when you're in it, it feels absolutely terrible. And obviously, Jam is thinking about something even bigger and more prolonged that potentially could happen in Q1. And so I want folks to take whatever discomfort they're feeling right now and say, Alright, today might feel pretty bad, but if there's a risk of it being even worse, I don't want to feel even worse if that indeed happens. I don't want to walk into that blind. If it does happen, I want to feel pretty good about where I'm positioned. So take that nervous energy, if you're feeling it this week, and really use it to drive you to look at your overall portfolio. figure out how you could perhaps be better allocated should indeed Jim be right. And if you don't feel like you've got that skills yourself, and as I say often, then talk to a good financial advisor who understands all the macro issues we're talking about here and get their input. But just don't shrug this off and then blindly walk into something that could be potentially a lot bigger and more substantial. So Mike, I'm sure you're getting calls from people as we're recording this right now who might be freaking out a little bit about the C or red they see on the screen.

What counsel do you have for people beyond what I just said? I just basically repeat some of what I already said. If we're managing their money, then we want to tell them we have a plan, and we absolutely have a plan, and we're reducing risk into these types of declines. We're not increasing them. We're not saying never sell. We're not saying double down or add. We're saying we have a plan. Let us execute that plan. Now, it's not comfortable, though, because still people see fluctuations, negative fluctuations in their account. Our accounts are down today. They're down, like I said, at the moment, a lot less than the indices are down because we're not fully exposed and our metals positions are holding up. But really what we want to do is help them get to a point where they can disengage some because sometimes people and even professionals get so glued to the screen and they get emotional and emotions are your enemy.

I know we've said it a thousand times, emotions are your enemy in investing. So we'll basically walk them through. We'll sell them down. If they're not a client, let's say they have a high allocated or a heavy stock

position, we'll help talk them through how to start picking away at that and or hedge it. But for the most part, it's all about having a plan and disengaging from emotion. And on top of that, most importantly, don't take too much risk. before you even enter the game. If you do that, you're just going to lose the game, no matter what happens, because at some point, you're going to get pushed into that corner we talked about, that tail that Brent talked about. Avoid that tail, because if you're in that tail, guaranteed, you're going to get pushed out. It just really comes down to therapy, really, and then making sure that you adjust things. We call it financial therapy, helping bring down the emotion part of it, help people think about it rationally, and then help them make decisions.

So that A, hopefully they're being proactive and putting themselves in better places before action happens. But no matter what's going on in the moment, you're helping them hopefully make the best next decision. One thing I just want to note too, in case anybody thinks that it might have sounded contradictory. We talked about how the third year in a presidential administration tends to be the best year for the markets. But we're also talking about Jem's concern that there could be a pretty big market dislocation at the beginning of next year. Two things could be true. We could have a really big market drawdown at the beginning of next year, and we could still end with the markets a lot higher by the end of 2027, especially if there's a big substantial central planner response to the market downdraft, which is what Jim expects. I asked him, where would you put your estimated response of the central planners to this drawdown versus 2008 versus 2020?

And he basically said, well, what we're seeing is that every time the central planners have to ride to the rescue, they have to bring more and more liquidity to get the job done. So in his mind, it's going to be even bigger than what we saw during COVID. Now, again, is that going to be true? We'll find out. But if there is, then yeah, you could see the market being really juiced from all that liquidity by the end of the year. So again, I don't want folks to think about this overly binary, oh, potential for a big drawdown in 2027, that means I'm going to write the year off. No, it could actually be potentially a really big year nominally. The point is that you've got to be paying attention and, as they say, you got to be positioning for

where the puck is headed. So anyways, I feel like I've beaten this drum loudly enough here. So why don't we get to that, Mike? I'm going to talk to you about gold in just a second, but I think people should take today as a wake-up call, again, to reevaluate risk in their portfolio and to come up with a plan for next year in general, given their financial goals and everything, but also from a defensive side in case Jem is right. Obviously, that's something that you guys can help them with at New Harbor. So if they fill out the really short form at thoughtfulmoney.com, they can be connected with you, John, and the rest of the team at New Harbor and basically say, hey, look, I don't want to be wiped out or unduly exposed to a big dry death next year. Can you guys help me construct a portfolio to make sure I'm still going for prudent growth, but not taking too much risk and really focusing on capital preservation?

Backed by 2 million healthcare providers worldwide, we're trusted as the number one insurance brand for the last seven years. Visit AllianzCare.com and explore our Singapore plans to find out more. Terms and conditions apply. Absolutely, Adam. I think one thing we're really good at is talking with not just clients, but people that are just wanting to talk with us. You offer a free portfolio review. We do that. We're very good at direct, just no-nonsense talk. Right and particularly cutting through the fear which is really the enemy of Every investor and normally the fear doesn't come into play until days like this overconfidence is usually what happens in recent years And so a lot of people are out there passive indexing even if they say they're not And so if you're passive indexing, we're going to just point it right out point blank. You're too overexposed. You don't really have a good plan for what happens when things go down. Other than to hold forever, that's not really a plan. So we'll say it very directly like that. Or we'll take a look and say you're very over concentrated in one sector or the other. We might say whether we disagree or agree with that. A lot of people have overweight in precious metals and miners, and we kind of agree with that sector, but we want to point out just how bad it can get and make sure that they can psychologically and financially take that move if that happens. So it's direct, no-nonsense feedback and I think that's what people like is that they just get direct talk, just real talk and we're happy to do that with anyone that wants to. Alright, great. And folks, as I say, I don't understand why you wouldn't

do this and it doesn't have to be with one of the financial advisors that Thoughtful Money endorses.

it just should be with a good financial advisor. And if you already have one who's fulfilling that role for you, well, great, fantastic. But it's times like now to lean on them and say, hey, wait a minute. Let's make sure I'm not too overexposed. Let's make sure I feel really good about where I'm positioned heading into 2027 given the potential risks out there. All right. Well, so two quick things. One, I am noticing, Mike, that today's plunge I've said many times, given how much the tech sector drives the overall indices, you could have the tech sector go down, but all other stocks go up, and yet the indices still go down big because tech is such a big part of the indices. What we're seeing today though is somewhat of that, but the equal weight index is down a fair amount too.

I think the equal weight index is down a little less than 3%. The S&P is down 4%. So the market weight is down 4%. So my point is, there aren't many places to hide right now in today's washout. It's kind of getting everything except, as we said, the precious metals and energy as well. But the last time we talked about the precious metals, things were looking especially grim technically. we talked about the kind of hope, if you will, at that point in time of a capitulation bottom and then Ronnie Stifurli from In Gold We Trust started tweeting about that last week. He said, I actually think a capitulation bottom is only a couple days away. That seemed to have proved prescient. Can you pull up the chart of gold here and tell us how good you feel about the bounce that we're seeing here? Basically the big question, which of course we don't know for certainty, is Is this just a reversal rally that's going to reverse again? Or do we think that a sustainable bottom for the year has been put in? We'll see. It's been really, really brutal in gold and silver land. And I think there's a good chance we have seen the bottom. This is GLD and ETF that tracks the price of gold. We have rallied up to the 50-day moving average. Take a look at the January top and how Brutal all of these months have been we were trying to break out of this purple downtrend line And I was watching for it this in both gold and silver and it has been really difficult for anyone that bought wrong or too late. If you bought early, you probably weren't feeling this quite as bad. And it was really difficult for the Gold Bug community, or people that believe in

precious metals, I should say, or believe in even the debasement trade, because there's so many years of just sideways action. Let me just go back to a monthly chart for the heck of it. 10 years post-2011 finally broke out here back in 2024, 24, 25. Big move.

finally vindicated after all those years, right? But look at that, 9-10 months of pullback, and it's still only taken back, oh, maybe a third of the move on gold. So it's still a valid breakout and probably just a test or a pullback or a retest of the breakout, and yet it feels horrible while you're going through it. But we finally broke out of that downtrend back in August, and it looked like we were off to the races, like we were going to recover. And then look at that. Just drip lower lower lower lower lower finally took out the July lows And I it it felt like if you went to X that's all you would see is people negative on gold and silver I know it's really really hard to pick a bottom find a bottom measure sentiment I can tell you it was getting really negative the nicest thing that we can see right now is one two three days Right down there with a gap down three days sideways and a gap up. That's called an island reversal. I hope that I hope that holds. If I zoom in, you can see it a little better. These are daily bars. Gap down. Usually, it's only one bar, but in this case, it's still valid. Gap down three days, gap up. Is this an island reversal in gold? This is right around 3850 or 3900 in gold. It might be. I hope so. We'll see. And it's somewhat similar in silver. Here's silver. That whole big downtrend line. We're talking about all these months that pop out. Roll over.

took out the July lows, and right now we're almost back to those July lows. And if I zoom in, you can see gap down three days, gap up. Is that going to end up being a reversal? Geez, I don't know. I will tell you one thing. We would never bet so large that we would have to sell if this has another leg down. The best advice I could give to anybody is set a position size that you can literally just sit and have faith with if it ever gets to faith time. Because that's what really it's been, faith time here recently. And lastly, go to like GDX to see gold stocks. Big triangle formed here over the summer. We broke out.

back in August and then rolled over. Gold stocks did not take out their lows. Maybe that's a positive divergence. In the last couple days, GDX went from

76 to 86, 88 in like four days. So we're back to the 50-day. So I don't really want to stick my neck out and say, oh boy, the bottom is definitely here, but I can tell you fear was there. Negativity was there. I think the fundamentals are there. Silver was down 60%. Gold was down 30%. Mining stocks, I believe, could still just go back to the monthly chart here. It could very well double from recent highs before this bull market is over. I have no way of knowing that for sure. I just believe that that could happen based on history. It's the monthly chart. We went from, what, 50 on GDX, more than doubled, gave back about almost a half of that move. This is a big triangle on the monthly.

Let's see if we can break higher in the coming year or two. If we do, then it could be a powerful move up to, who knows, maybe a double on GDX. Again, there's nothing guaranteed. Don't bet more than you can afford to sit with, but it's been a hard pullback, and I think we may have seen the lows. That's what we're hoping. Great. Mike, give me a favor. Go back to the GLD chart just for a sec. Okay. I'll go back. So finally, obviously, in contrast to today's carnage in the market. We finally, ironically, have some positivity here in the precious metals. So the price still seems to be below a number of the moving averages there. At what threshold, at what level would you say, okay, you know what, I'm feeling pretty confident we're out of the woods now? Well, right where I have this big red line right here, I'll make it a little On GLD, what would that be? Let's see, we're around 4,100 or so, so another 150. So I'd be around 4,400, 4,400, 4,400 to 4,500. Get above this red line, because right now this red line is the 580 moving average. Maybe I should actually change the color on this one to maybe purple. This purple line, we get above there, that's around 4,300, 4,400 on spot gold, and then I think you leave these lows behind.

Okay. Right. And then you're about the summer lows too. All right. Great. Okay. So TBD folks, but obviously we'll be continuing to track it here on this channel. All right, Mike, I got to start wrapping it up here. But I do want to, you know, if I can express, you know, my general sentiment to folks here is We don't know what's going to happen from here for the rest of the year. This 6% drawdown could be just an isolated event, but it shows the instability of the system. And this is something that Mike and the guys at New Harbor and many other guests on this channel have been saying for

a good long while, which is, yeah, we've been hitting new all-time highs over the past couple of years, but the sustainability of those highs, there's a lot of reasons to call them into question, especially if there's any sort of hiccup in the AI megatrend because it makes up so much of the market's market value and it makes up so much of the GDP growth that's going on right now. There definitely are some big questions that are creeping in here. I mentioned with Brett, this new Democrat-controlled Congress with a lot of people, especially governors who just got voted in on kind of a anti-data center mandate.

that might slow the AI CapEx roll and that's going to have real repercussions. And if it slows it down, things have to be repriced downwards. It also just could be the craziness of the valuations that we've been talking about. When you look at a lot of the stocks, especially in the AI sector this year, they were trading at price to sales type valuations and things like that that we just never saw outside of bubbles. So that's the potential risk here. So anyways, even if we make it through the week fine and there's a face-ripping rally, as Mike said, that could happen, that happened soon, just understand that this is potentially the universe sending you a message that if and when the unsustainable elements here end, things can go south quite quickly. As Brent says, bad things happen. I want to make sure that as many people as possible are as protected from as much of the bad things that could happen as possible. And so take this as maybe a strong tap on the shoulder from the universe to say, especially if you're taking some losses today, go re-evaluate your positioning, bring in smarter people than you if you feel uncertain about your ability to do this well, and make sure that you're entering 2027 with as prudent a portfolio allocation is possible. One where, if times are good, you'll feel like you're still making enough money to hit your goals on time, but if things turn out to be bad, that you're not taking it fully on the chin the way that many investors who are just blindly long are going to take it. Obviously, if you want to get some help from one of the financial advisors at thoughtful money endorses, you can easily do that by filling out the very short form at thoughtfulmoney.com.

only takes a couple seconds to fill out the form. These consultations are totally free. You're going to get bespoke, customized advice from these

advisors based on your specific financial situation, your goals, your risk tolerance, etc. Like I said, I don't know, anybody wouldn't do this. And again, you don't have to do it with the folks that thoughtful money endorses. You can do it with anybody that you think is good or better than them. Just do it is the point. And again, if you're using one of the advisors that thoughtful money endorses, there's no cost to it. There's no obligations involved. It's just a service they offer to help as many people like you as possible navigate what might happen in the future. With that said, Mike, any closing bits of counsel you want to mention to folks before we wrap it up? No, really. I think we covered everything. Just be careful with your emotions. If you're feeling super emotional, reach out to us. We'll be happy to have a quick chat. We don't know what's going to happen next. I wouldn't be surprised to see a bounce from here.

Okay, so in addition to getting portfolio counsel, get your financial therapy as well. They're one and the same a lot of times, Adam, to be honest. So yeah, I'm happy to do that. It's going to be fine. We can help you make sure that it will be. All right. Well, Mike, again, thank you so much for the service that you and John and the team there at New Harbor provide folks. That steady hand on the tiller. It's always a boon for people, but particularly in times like this when emotions start running amok. So thank you for the role you played in the past. I'm going to thank you for what you're going to do in the future, too, because I know you're going to have a lot of people reaching out to say, hey, I need a little bit of that therapy. Yeah, thank you, Adam. Happy to do it. And we're in this position. It's an honor to be in this position. And thanks to you.

Alright guys, well thanks so much. Folks, if you haven't yet, hit the like button and subscribe to the channel if you haven't yet as well. That really helps important videos like this get pushed out in the world through the YouTube algorithm and we'll continue making a lot more videos like this. We've got a great set of experts lined up for the next couple weeks. I think you're really going to like those coming videos and of course we'll have John and Mike on the channel weekly to keep you updated going forward. Thanks so much, Mike. Thank you, Adam. Hope to see you soon. Well, we'll see you next week. And everybody else, thanks so much. for watching.